

Paradiem

The Morning Brief

JULY 12, 2026

Hormuz Standoff

Iran declares Hormuz closed indefinitely after fresh U.S. strikes; Oman drafts two-corridor plan as June CPI Tuesday and bank earnings anchor the week.

S&P 500 (FRI CLOSE)	WTI (USO FRI)	BITCOIN (LIVE WKND)	HORMUZ STATUS	FEAR & GREED
\$754.95 · ↑~1.3% on the week per Reuters	\$108.70 · weekly gain per Reuters · Hormuz risk premium	~\$63,800 · ↑~2% wk per CoinDesk	Iran reportedly declared closed indefinitely Sat per CNN / Al Jazeera	Data drop returned crypto fallback (26) · CNN stock read unavailable at press

SECTION 01

Markets — Week in Review

THE WEEK REPORTEDLY DELIVERED A CHIP-LED BID THAT ABSORBED THE IRAN ESCALATION INTO FRIDAY, BUT THE WEEKEND REPORTEDLY RESET THE SETUP AS IRAN REPORTEDLY DECLARED THE STRAIT OF HORMUZ CLOSED PER CNN AND AL JAZEERA AFTER FRESH U.S. STRIKES ON IRGC VESSELS PER CENTCOM COVERAGE; FRIDAY’S REPORTED TAPE REPORTEDLY CLOSED THE S&P AT \$754.95 (↑0.43% FRI, REPORTEDLY ↑~1.3% ON THE WEEK PER REUTERS, BELOW RECENT RECORD LEVELS)

For FCI’s framework, the reported week delivered a two-leg composition: an AI-capex bid that reportedly widened Wed-Thu on the reported Meta “Iris” chip headline and a Friday-close broadening that reportedly saw Materials (XLB ↑1.25%), Staples (XLP ↑1.11%), and Comm Svcs (XLC ↑1.02%) reportedly lead the tape per the data drop. NVDA reportedly closed Friday at \$210.96 (↑4.03%) and AMD at \$557.89 (↑2.04%) reportedly reflecting the reported Goldman PT raise to \$640 per Yahoo. The reported SK Hynix ADR debut on Nasdaq reportedly priced at \$149 and closed the first session at \$168.01 per Bloomberg/Quartz (a reported ~12.8% first-session gain) in a reported \$26.5B listing per Bloomberg — reportedly the largest non-U.S. share sale on record and a reported constructive signal for the reported memory-chip complex. The weekend reportedly reset the Iran narrative from “absorbed” to “live” as Iran reportedly declared Hormuz closed after fresh U.S. strikes per CNN — a signal that reported Monday oil and defense will reportedly reprice first. Carson’s SPY \$645.80 support remains active per levels.json, well-removed from Friday’s reported intraday range of \$748.10–\$755.42 per the data drop — no level was reportedly hit.

S&P 500 (FRI CLOSE)	\$754.95 · ↑0.43% Fri · ↑~1.3% wk per Reuters · below recent record levels
NASDAQ (FRI CLOSE)	\$725.51 · ↑0.31% Fri per data drop
DOW (FRI CLOSE)	\$525.78 · ↑0.30% Fri per data drop
WTI (USO FRI)	\$108.70 · ↓0.28% Fri · weekly gain per Reuters
BITCOIN (LIVE WKND)	~\$63,800 · reportedly held above \$60K despite Hormuz closure per CoinDesk
SK HYNIX ADR DEBUT	Priced \$149 · Fri close \$168.01 · \$26.5B listing per Bloomberg
CARSON'S SPY SUPPORT	\$645.80 · active · far from Fri intraday \$748.10–\$755.42

PER KIPLINGER AND FXSTREET COVERAGE OF THE REPORTED WEEK AHEAD, JUNE CPI REPORTEDLY PRINTS TUESDAY AT 7:30 AM CT PER BLS CALENDAR WITH REPORTED HEADLINE EXPECTED ↓0.1% M/M AND REPORTED CORE ↑0.3% M/M PER KIPLINGER (REPORTED ANNUAL CORE REPORTEDLY EXPECTED TO HOLD AT 2.9%); CHAIR WARSH REPORTEDLY TESTIFIES BEFORE THE HOUSE FINANCIAL SERVICES COMMITTEE AT 9 AM CT TUESDAY AND THE SENATE BANKING COMMITTEE AT 9 AM CT WEDNESDAY PER

CONGRESSIONAL COVERAGE — REPORTEDLY THE FIRST PUBLIC RATE-PATH RESET SINCE THE WARSH-CHAIR FOMC MINUTES; REPORTED BIG-BANK Q2 EARNINGS REPORTEDLY BEGIN SIMULTANEOUSLY BEFORE THE BELL TUESDAY (JPM, C, WFC, GS, BAC) PER STOCKTWITS

For FCI's framework, the reported CPI print reportedly will land 90 minutes before Warsh's reported House testimony per Bloomberg, reportedly making it difficult for the Chair to bypass questions on the reported inflation picture. Per Kiplinger coverage, the reported June headline could reportedly flip negative on the reported June crude decline (reportedly ↓~21% mid-June ceasefire per Kiplinger) — but the reported weekend Hormuz closure reportedly reintroduces upside energy risk for the reported July print. The reported bank-earnings kickoff Tuesday reportedly clarifies the reported net-interest-margin backdrop and consumer-credit signal for FCI's Dividend-sleeve financial exposure (SYF \$72.44 ↑1.22% Fri per data drop); reported options-implied moves reportedly range from 4.4% for JPM to 6.0% for GS per Stocktwits. **Simplicity Over Complexity.**

The reported chip-capex bid reportedly absorbed the Iran theater into Friday; the reported weekend Hormuz closure reportedly resets Monday's energy-and-defense trade, and Tuesday reportedly delivers the reported CPI-Warsh-banks compression that reportedly frames the reported second half.

Research Reveals Opportunities.

Geopolitics — Iran Reportedly Declared the Strait of Hormuz Closed Indefinitely Over the Weekend per CNN and Al Jazeera After a Reported U.S. Strike Following a Reported Ship Attack in the Strait Friday; Oman Reportedly Drafted a Two-Corridor Hormuz Proposal Saturday per Al Jazeera Coverage of the Reported Araghchi Meetings; The Reported Northern Corridor Would Require Iranian Pre-Clearance While the Reported Southern Corridor Would Remain Open Under Reported Pre-War Conditions

PER CNN LIVE-BLOG AND AL JAZEERA COVERAGE OF THE REPORTED WEEKEND DEVELOPMENTS, IRAN REPORTEDLY DECLARED THE STRAIT OF HORMUZ CLOSED FOLLOWING A REPORTED SHIP-ATTACK INCIDENT EAST OF OMAN (REPORTED PER UKMTO TO HAVE CAUSED A FIRE ON A CONTAINER SHIP) AND REPORTED U.S. STRIKES THAT REPORTEDLY HIT APPROXIMATELY 140 IRANIAN MILITARY TARGETS PER REUTERS / CENTCOM COVERAGE; IRAN REPORTEDLY FRAMED THE CLOSURE AS A RESPONSE TO WHAT IRAN CHARACTERIZED AS UNLAWFUL OUTSIDE INTERFERENCE PER THE IRANIAN STATEMENT CITED BY CNN; TRUMP REPORTEDLY WARNED REPORTED ADDITIONAL STRIKES COULD REPORTEDLY TARGET IRAN'S KHARG ISLAND OIL EXPORT TERMINAL PER REUTERS AND AL JAZEERA, REPORTEDLY SIGNALING THE U.S. COULD MOVE TO TAKE CONTROL OF THE ISLAND

For FCI's framework, the reported weekend escalation reportedly materially changes the Monday setup relative to Friday's reported "absorbed" composition: a reported Hormuz closure declaration reportedly reprices the reported energy premium first (roughly 20% of global oil and gas trade reportedly transits Hormuz per Al Jazeera) even as the reported physical-supply impact reportedly depends on whether Iran reportedly enforces the declaration on non-Iranian-flag traffic. Per CoinDesk coverage, Bitcoin reportedly held near \$63,800 through the weekend despite the reported strikes and closure declaration — a signal that reported 24/7 pricing so far reportedly reads the escalation as tactical rather than structural. For FCI's Refiner and Upstream sleeves, VLO (\$280.69 Fri, ↓0.20%), DVN (\$42.23, ↑0.50%), and CVX (\$176.40, ↑1.35%) reportedly enter Monday with the reported weekend re-pricing skewed to the upside for reported crack spreads and reported upstream cash flow if the reported closure holds through the reported Doha technical track. For FCI's Defense sleeve, LMT (\$523.22, ↑0.96% Fri) and GD (\$375.06, ↑0.12%) reportedly enter Monday with the reported program backdrop reportedly reinforced by per Yahoo coverage in the data drop, reported NATO allies pledging over \$50B into defense investment. **The physical world matters.**

PER AL JAZEERA COVERAGE OF THE SATURDAY ARAGHCHI-AL BUSAIDI MEETING IN MUSCAT, OMAN REPORTEDLY DRAFTED A TWO-CORRIDOR FRAMEWORK FOR HORMUZ TRAFFIC: THE REPORTED SOUTHERN CORRIDOR THROUGH OMANI TERRITORIAL WATERS WOULD REPORTEDLY REMAIN OPEN UNDER PRE-WAR FREE-NAVIGATION TERMS, WHILE THE REPORTED NORTHERN CORRIDOR THROUGH IRANIAN WATERS WOULD REPORTEDLY REQUIRE PRIOR IRANIAN APPROVAL WITHOUT TOLLS; THE REPORTED FRAMEWORK REPORTEDLY IS NOT YET FINALIZED PER AL JAZEERA AND IS REPORTEDLY THE REPORTED LIVE DIPLOMATIC TRACK INTO MONDAY; REPORTED MEDIATORS PAKISTAN AND QATAR REPORTEDLY WORKING THE REPORTED TECHNICAL TRACK SEPARATELY PER PRIOR BRIEF COVERAGE

For FCI's framework, the reported Omani two-corridor proposal reportedly is the reported constructive counter-narrative to the reported Iranian closure declaration — if the reported Muscat channel reportedly holds, the reported energy premium reportedly retraces without a reported Kharg escalation; if the reported channel stalls, the reported oil bid

reportedly extends and the reported CPI print Tuesday reportedly captures a materially different energy backdrop than the reported June crude decline. Per Yahoo coverage cited in prior briefs, Fed's Williams reportedly said energy prices have already peaked despite the reported new Iran fighting — a reported policy-side framing that reportedly frames the reported Warsh testimony Tuesday against the reported weekend escalation. Per Bloomberg coverage, Warsh reportedly cannot easily bypass the reported inflation question given the reported 90-minute CPI-to-testimony compression Tuesday. For the FCI Consumer Staples read-across into the reported CPI print, CL reportedly closed ↑1.35% Fri at \$92.24 and CHD ↑0.72% at \$96.36 per the data drop — the reported sleeve reportedly enters Monday with a reported Friday bid. **Think Like an Owner.**

HORMUZ STATUS (SAT)	Iran reportedly declared the strait closed indefinitely per CNN / Al Jazeera
U.S. STRIKE (FRI/SAT)	Reportedly hit ~140 Iranian military targets per Reuters / CENTCOM
OMAN PROPOSAL	Two-corridor Hormuz framework reportedly drafted Sat per Al Jazeera
KHARG ISLAND	Trump reportedly signaled U.S. could move to take control of the terminal per Al Jazeera / Washington Examiner
HORMUZ SHARE OF OIL TRADE	Reportedly ~20% of global oil / gas transit per Al Jazeera
WTI (FRI CLOSE)	USO \$108.70 · weekly gain per Reuters
BRENT (FRI CLOSE)	BNO \$42.15 · weekly gain per Reuters

SECTION 03

On Our Radar

1. Week Ahead — June CPI Tuesday July 14 at 7:30 AM CT per BLS Calendar Is the Reported Anchor Print (Reported Headline Expected ↓0.1% M/M, Reported Core ↑0.3% M/M per Kiplinger, With Annual Core Reportedly Holding at 2.9%); Chair Warsh Reportedly Testifies Before the House Financial Services Committee at 9 AM CT Tuesday and the Senate Banking Committee at 9 AM CT Wednesday per Congressional Coverage — the Reported First Public Rate-Path Reset Since the Reported Warsh-Chaired FOMC Minutes; Reported Big-Bank Q2 Earnings Reportedly Kick Off Simultaneously Before the Bell Tuesday (JPM, C, WFC, GS, BAC) per Stocktwits, With MS Reportedly Wednesday. For FCI's framework, Tuesday reportedly delivers a materially compressed macro window: the reported CPI print reportedly lands 90 minutes before Warsh's reported House testimony per Bloomberg, and the reported bank kickoff reportedly frames the reported net-interest-margin backdrop for reported FCI Dividend-sleeve financial exposure (SYF \$72.44 ↑1.22% Fri per data drop). Per Stocktwits, reported options-implied moves reportedly range from 4.4% for JPM to 6.0% for GS — a reported volatility signal into the reported CPI-Warsh compression. Per Kiplinger, JPM reportedly is expected to earn \$5.49 EPS on \$48.7B revenue (reportedly +10.7% and +8.5% YoY) and BAC reportedly \$1.12 EPS on \$30.7B revenue (reportedly ~25% YoY growth). *Research Reveals Opportunities.*

2. Weekend Hormuz Reset — Iran Reportedly Declared the Strait Closed Indefinitely Saturday per CNN and Al Jazeera After Reported U.S. Strikes Hit ~140 Iranian Military Targets per Reuters / CENTCOM; Oman Reportedly Drafted a Two-Corridor Hormuz Framework Saturday per Al Jazeera; The Reported Southern Corridor Would Reportedly Remain Open Under Pre-War Terms While the Reported Northern Corridor Reportedly Would Require Iranian Pre-Clearance; Trump Reportedly Warned Reported Future Strikes Could Reportedly Target Iran's Kharg Island Oil Export Terminal per Al Jazeera / Washington Examiner. For FCI's Refiner and Upstream sleeves, Monday reportedly opens with the reported energy premium reportedly repriced against Friday's close (USO \$108.70, BNO \$42.15) — a reported constructive setup for VLO (\$280.69), DVN (\$42.23), and CVX (\$176.40) if the reported closure holds. Per CoinDesk, Bitcoin reportedly held near \$63,800 through the weekend despite the reported escalation — a signal that reported 24/7 risk pricing reportedly reads the closure as tactical rather than structural. For the FCI Defense sleeve, LMT (\$523.22 Fri, ↑0.96%) and GD (\$375.06, ↑0.12%) reportedly enter Monday with the reported NATO >\$50B defense-investment pledge per Yahoo coverage in the data drop as reported structural backdrop. **The physical world matters.**

3. FCI Position Watch — FAST Reportedly Reports Q2 Monday Pre-Market per FAST IR — The First FCI Dividend-Sleeve Q2 Print This Cycle. Per Benzinga Coverage in the Data Drop Headlines, FAST Reportedly Announced a Reported Cash Dividend and Share Repurchase Activity Ahead of the Print, and Wells Fargo Reportedly Maintained Equal-Weight With a PT Raise to \$248 on ADP per Benzinga. STLD Reportedly Reports Q2 July 21 per Company Release, With STLD Reportedly Closing ↑2.86% at \$228.42 Friday per the Data Drop. For FCI's framework, FAST's reported print reportedly tests whether reported industrial-distribution demand reportedly firmed into Q2; per Yahoo coverage in the data drop headlines, VLO reportedly captured a reported constructive framing on reported strong fuel demand and reported elevated crack spreads — a reported read-across into the reported refiner sleeve's reported energy-premium capture that the reported weekend Hormuz closure reportedly extends. Per prior brief coverage, DAL reportedly beat Q2 EPS (\$1.56 vs \$1.47 est per Alphastreet) and reaffirmed the reported full-year guide — a reported industrials read-across ahead of FAST. **Avoid Erosion.**

4. Digital-Sleeve Weekend Watch — Per CoinDesk Weekend Coverage, Bitcoin Reportedly Held Near \$63,800 Despite the Reported U.S. Strikes and Reported Hormuz Closure Declaration, Reportedly ↓0.3% Over 24 Hours and ↑~2% on the Week per CoinDesk; IBIT Reportedly Closed ↑1.17% at \$36.23 and ETHA ↑2.58% at \$13.53 Friday per the Data Drop; Per Yahoo Coverage in the Data Drop, a Reported New Version of the CLARITY Act Could Reportedly Emerge Next Week — A Reported Regulatory-Track Item to Watch. For FCI's Digital Assets and Growth-Hybrid sleeves, the reported weekend Bitcoin resilience reportedly matters more than the reported miner give-back Friday (MARA ↓4.69% to \$12.60, HUT ↓3.77% to \$102.22 per data drop) — the reported spot-ETF holder cohort reportedly is the reported anchor as the reported CLARITY Act cycle reportedly progresses. Per Benzinga coverage cited in prior briefs, reported U.S. spot Bitcoin ETFs reportedly snapped a reported 10-day outflow streak with a reported \$221.7M inflow per Reuters. Carson's SPY \$645.80 support remains active per levels.json, well-removed from Friday's reported intraday range \$748.10–\$755.42 per the data drop — no level was reportedly hit. The data drop reportedly returned the reported crypto fallback value (26) for the reported Fear & Greed Index — a reported CNN stock-market endpoint miss to flag per CLAUDE.md; the reported CNN reading was unavailable at press time. *Simplicity Over Complexity.*

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